COMPLETE LEARNING SESSION

# Economy Topic 26 - Economic Survey Synthesis and Current Macro Dashboard

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

## LEARNING PATH

**CONCEPT**
Define precisely

**ARGUMENT**
Build the case

**CRITIQUE**
Test the limits

**APPLICATION**
Write the answer

*Deterministic fallback visual: move from precise concepts through argument and critique to exam application.*

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

# Economy Topic 26 - Economic Survey Synthesis and Current Macro Dashboard

**Data cutoff:** 9 September 2026. **Latest verified Economic Survey:** 2025-26, tabled 29 January 2026.

This package is a revision-safe synthesis. Static concepts remain stable; every current cell carries its reference period, base/unit, release date, official source and estimate status. Survey diagnosis, Budget intention, notified policy and measured outcome are never merged.

## ROADMAP

The session moves from document authority and statistical grammar to national accounts, prices, production, fiscal-monetary-financial conditions, external stability, jobs and social evidence, indicator timing, Economic Survey themes and integrated UPSC synthesis. Each Core session is visual first and contains an answer-ready definition, claim-evidence-analysis-qualification chain, evidence, trap, Mains use and recap.

## CORE SESSION 01 - Economic Survey versus Union Budget

### VISUAL FIRST

```
SURVEY -> diagnosis + evidence + recommendations
BUDGET -> taxation + expenditure + borrowing proposals
PARLIAMENT -> authorisation through Finance/Appropriation laws
```

**Definition:** The Economic Survey is the Finance Ministry's annual analytical review; the Union Budget is the constitutional fiscal statement and appropriation proposal.

**Answer line:** A Survey argument is evidence or advice, not expenditure authority.

**Keywords:** Economic Survey, Union Budget, diagnosis, recommendation, appropriation

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** A Survey argument is evidence or advice, not expenditure authority.
- **Named evidence:** Economic Survey 2025-26 was tabled on 29 January 2026; Union Budget 2026-27 followed on 1 February 2026.
- **Analysis:** The sequence enables diagnosis before fiscal choices, but the documents have different legal consequences.
- **Qualification:** Even a Survey recommendation may never enter the Budget, a rule or an implemented programme.

**Evidence to remember:** Economic Survey 2025-26 was tabled on 29 January 2026; Union Budget 2026-27 followed on 1 February 2026.

**Prelims trap:** Do not cite a Survey proposal as an enacted policy or a Budget Estimate as an outcome.

**Mains use:** Open a Survey question by separating analytical status from the Budget's fiscal authority.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 02 - Survey authority and non-binding status

## VISUAL FIRST

```
DATA -> SURVEY INTERPRETATION -> POLICY ARGUMENT
                          |
                          `-> no automatic legal effect
```

**Definition:** The Survey synthesises official evidence and articulates the executive's economic assessment without itself changing tax rates, appropriating money or binding regulators.

**Answer line:** The Survey is influential because it frames problems, not because it is a statute.

**Keywords:** analytical document, non-binding, diagnosis, forecast, policy argument

## CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The Survey is influential because it frames problems, not because it is a statute.
- **Named evidence:** Its chapters combine official statistics, research and policy reasoning under the Department of Economic Affairs.
- **Analysis:** UPSC answers can use the diagnosis while independently testing causality, distribution and implementation.
- **Qualification:** Authorship by government does not make every forecast certain or every recommendation adopted.

**Evidence to remember:** Its chapters combine official statistics, research and policy reasoning under the Department of Economic Affairs.

**Prelims trap:** Survey publication does not equal Cabinet approval, parliamentary enactment or regulator notification.

**Mains use:** Use 'the Survey argues' for recommendations and 'the Budget provides' for allocations.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

# CORE SESSION 03 - Six-field data-vintage protocol

## VISUAL FIRST

```
INDICATOR -> PERIOD -> UNIT/BASE
     -> RELEASE DATE -> SOURCE -> STATUS
```

**Definition:** A revision-safe citation records indicator, reference period, unit/base, release date, source and estimate status.

**Answer line:** A macro number without metadata is not exam-ready evidence.

**Keywords:** indicator, reference period, release date, source, status, base year

## CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** A macro number without metadata is not exam-ready evidence.
- **Named evidence:** MoSPI's 31 August 2026 GDP note labels Q1 FY27, constant/current prices and base 2022-23; CPI July 2026 is separately provisional.
- **Analysis:** Metadata prevents false comparisons and lets the dashboard be updated without rewriting static theory.
- **Qualification:** A later release can revise the same period; publication date is not the reference period.

**Evidence to remember:** MoSPI's 31 August 2026 GDP note labels Q1 FY27, constant/current prices and base 2022-23; CPI July 2026 is separately provisional.

**Prelims trap:** Never write 'current GDP is 7.8%' without quarter, price basis, release and estimate status.

**Mains use:** Attach the six fields in a compact parenthesis after every current fact.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

# CORE SESSION 04 - Financial year versus calendar year

## VISUAL FIRST

```
FY 2026-27 = APR 2026 ... MAR 2027
CY 2026    = JAN 2026 ... DEC 2026
OVERLAP != IDENTITY
```

**Definition:** India's fiscal and many macro series use April-March financial years, while some releases and global comparisons use calendar years.

**Answer line:** Date labels determine the denominator and comparison window.

**Keywords:** financial year, calendar year, quarter, half-year, reference period

## CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Date labels determine the denominator and comparison window.
- **Named evidence:** Q1 FY27 means April-June 2026, whereas Q1 calendar 2026 means January-March 2026.
- **Analysis:** Mixing the two can reverse trend claims and misalign fiscal, external and production evidence.
- **Qualification:** Always decode the publisher's convention; global databases may report India on a fiscal-year basis even in comparative tables.

**Evidence to remember:** Q1 FY27 means April-June 2026, whereas Q1 calendar 2026 means January-March 2026.

**Prelims trap:** FY26 is not calendar 2026, and H1 FY26 is not January-June 2026.

**Mains use:** Define the time window before comparing growth, deficit or trade.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

# CORE SESSION 05 - Stock, flow, level, rate, share and ratio

## VISUAL FIRST

```
STOCK: reserves / debt @ date
FLOW: GDP / CAD / deficit over period
RATE/SHARE: change or composition
```

**Definition:** Stocks are measured at a point; flows over a period; levels, growth rates, shares and ratios answer different questions.

**Answer line:** A dashboard fails when unlike statistical objects are treated as substitutes.

**Keywords:** stock, flow, level, growth rate, share, ratio, denominator

## CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** A dashboard fails when unlike statistical objects are treated as substitutes.
- **Named evidence:** RBI reserves were USD 740.803 billion on 28 August 2026, while Q1 FY27 CAD was a USD 4.2 billion flow.
- **Analysis:** The reserve stock buffers financing risk but does not erase the current-account flow.
- **Qualification:** Ratios also depend on denominators that may be revised.

**Evidence to remember:** RBI reserves were USD 740.803 billion on 28 August 2026, while Q1 FY27 CAD was a USD 4.2 billion flow.

**Prelims trap:** Do not infer external balance merely because reserves exceed one quarter's CAD.

**Mains use:** Label every evidence item stock, flow, level, growth, share or ratio.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

# CORE SESSION 06 - Real, nominal and implicit deflator

## VISUAL FIRST

```
NOMINAL GDP
    / REAL GDP
    = IMPLICIT GDP DEFLATOR
VALUE CHANGE = VOLUME + PRICE EFFECT
```

**Definition:** Real aggregates hold prices constant; nominal aggregates use current prices; an implicit deflator is the ratio of nominal to real value.

**Answer line:** Nominal acceleration need not mean faster real output.

**Keywords:** constant prices, current prices, implicit deflator, volume, price effect

## CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Nominal acceleration need not mean faster real output.
- **Named evidence:** MoSPI's 31 August 2026 Q1 FY27 release reported real GDP growth 7.8% and nominal GDP growth 10.3% under base 2022-23.
- **Analysis:** The gap signals aggregate price effects, but component weights and chain methods prevent casual subtraction from becoming a full inflation measure.
- **Qualification:** CPI, WPI and the GDP deflator cover different baskets and valuation stages.

**Evidence to remember:** MoSPI's 31 August 2026 Q1 FY27 release reported real GDP growth 7.8% and nominal GDP growth 10.3% under base 2022-23.

**Prelims trap:** Never compare a nominal GDP level directly with a real growth rate.

**Mains use:** Use real growth for volume and nominal growth for tax bases, debt ratios and current-price scale.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

# CORE SESSION 07 - GDP and GVA boundary

## VISUAL FIRST

```
GVA AT BASIC PRICES
 + PRODUCT TAXES
 - PRODUCT SUBSIDIES
 = GDP AT MARKET PRICES
```

**Definition:** GVA measures producer value added at basic prices; GDP at market prices adds product taxes and subtracts product subsidies.

**Answer line:** GDP-GVA divergence can reflect net product taxes rather than contradictory production estimates.

**Keywords:** GDP, GVA, basic prices, market prices, product taxes, subsidies

## CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** GDP-GVA divergence can reflect net product taxes rather than contradictory production estimates.
- **Named evidence:** Q1 FY27 real GDP grew 7.8% and real GVA 8.2% in MoSPI's 31 August 2026 release.
- **Analysis:** Reading both separates market-price fiscal effects from underlying sector value added.
- **Qualification:** Sector narratives should normally use GVA; expenditure demand is organised around GDP.

**Evidence to remember:** Q1 FY27 real GDP grew 7.8% and real GVA 8.2% in MoSPI's 31 August 2026 release.

**Prelims trap:** GDP and GVA are related but not interchangeable labels.

**Mains use:** Explain a divergence through net taxes before alleging data inconsistency.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

# CORE SESSION 08 - Estimate and revision ladder

## VISUAL FIRST

```
FAE -> SAE -> PROVISIONAL -> FIRST REVISED -> LATER REVISIONS
TIMELINESS rises left | COMPLETENESS rises right
```

**Definition:** National accounts move from advance estimates through provisional and revised rounds as more complete administrative and survey data arrive.

**Answer line:** Revision is a feature of timely statistics, not automatic evidence of manipulation.

**Keywords:** FAE, SAE, provisional estimate, revised estimate, revision policy

## CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Revision is a feature of timely statistics, not automatic evidence of manipulation.
- **Named evidence:** The Survey's FY26 7.4% growth was a First Advance Estimate; later national-account releases use fuller evidence and a new base series.
- **Analysis:** Policy needs early estimates, while accountability needs revision histories and comparable vintages.
- **Qualification:** A new base or method can break direct comparability beyond ordinary revision.

**Evidence to remember:** The Survey's FY26 7.4% growth was a First Advance Estimate; later national-account releases use fuller evidence and a new base series.

**Prelims trap:** Do not call an FAE final or compare it mechanically with a later rebased estimate.

**Mains use:** State the vintage before using any growth figure as proof.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

# CORE SESSION 09 - Base-year revision and series break

## VISUAL FIRST

```
OLD BASE 2011-12 --X-- NEW BASE 2022-23
          bridge/back-series required for long comparison
```

**Definition:** A base-year revision updates weights, classifications, prices, sources and methods, creating a new statistical series.

**Answer line:** Rebasing improves relevance but requires a bridge for historical trend comparison.

**Keywords:** base year, weights, coverage, methodology, back series, comparability

## CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Rebasing improves relevance but requires a bridge for historical trend comparison.
- **Named evidence:** MoSPI launched national accounts base 2022-23 on 27 February 2026; Q1 FY27 estimates use that series.
- **Analysis:** New coverage, producer-price inputs and double deflation can change levels and sector growth independently of real-world shocks.
- **Qualification:** Until an official back series exists, long comparisons across the break need qualification.

**Evidence to remember:** MoSPI launched national accounts base 2022-23 on 27 February 2026; Q1 FY27 estimates use that series.

**Prelims trap:** A higher new-series growth rate is not automatically economic acceleration.

**Mains use:** Flag the base break whenever Survey 2011-12-base values meet post-February 2026 releases.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

# CORE SESSION 10 - Expenditure-side GDP

## VISUAL FIRST

```
GDP = PFCE + GFCE + GCF + (X-M) + DISCREPANCIES
```

**Definition:** Expenditure GDP decomposes final consumption, capital formation, government consumption, net exports and statistical discrepancies.

**Answer line:** Demand composition reveals whether growth is consumption-, investment-, government- or external-led.

**Keywords:** PFCE, GFCE, GFCF, net exports, discrepancies, demand composition

## CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Demand composition reveals whether growth is consumption-, investment-, government- or external-led.
- **Named evidence:** MoSPI reported Q1 FY27 PFCE growth of 7.1% and GFCF growth of 11.9% at constant prices on 31 August 2026.
- **Analysis:** Investment growth can expand future capacity, while consumption supports present demand.
- **Qualification:** A component's growth rate is not its share or contribution to total GDP growth.

**Evidence to remember:** MoSPI reported Q1 FY27 PFCE growth of 7.1% and GFCF growth of 11.9% at constant prices on 31 August 2026.

**Prelims trap:** Do not infer private-investment quality from GFCF growth alone.

**Mains use:** Use demand components to move beyond a headline GDP number.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

# CORE SESSION 11 - Sectoral GVA architecture

## VISUAL FIRST

```
PRIMARY -> agriculture + mining
SECONDARY -> manufacturing + utilities + construction
TERTIARY -> trade + finance + public/other services
```

**Definition:** Sectoral GVA distributes production across primary, secondary and tertiary activities under the national-account classification.

**Answer line:** Sector breadth matters for resilience, jobs and productivity.

**Keywords:** primary, secondary, tertiary, sectoral GVA, breadth, productivity

## CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Sector breadth matters for resilience, jobs and productivity.
- **Named evidence:** Q1 FY27 real GVA growth was 2.9% primary, 8.6% secondary and 10.0% tertiary in the 31 August 2026 MoSPI release.
- **Analysis:** The mix indicates service leadership with stronger secondary activity and slower primary growth.
- **Qualification:** Broad-sector growth can conceal divergent sub-sectors and employment intensity.

**Evidence to remember:** Q1 FY27 real GVA growth was 2.9% primary, 8.6% secondary and 10.0% tertiary in the 31 August 2026 MoSPI release.

**Prelims trap:** Do not call GDP broad-based without decomposing sector and demand sides.

**Mains use:** Pair sector growth with jobs, investment and productivity.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 12 - Current growth snapshot

### VISUAL FIRST

```
31 AUG 2026 RELEASE
Q1 FY27: REAL GDP 7.8 | NOMINAL GDP 10.3 | REAL GVA 8.2
BASE 2022-23 | QUARTERLY ESTIMATE
```

**Definition:** A current growth snapshot is the latest comparable official national-account estimate available by the chosen cutoff.

**Answer line:** The latest growth pulse was firm, but one quarter is not a full-year outturn.

**Keywords:** Q1 FY27, real GDP, nominal GDP, real GVA, quarterly estimate

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The latest growth pulse was firm, but one quarter is not a full-year outturn.
- **Named evidence:** MoSPI's 31 August 2026 release placed Q1 FY27 real GDP growth at 7.8% and real GVA at 8.2%.
- **Analysis:** Consumption, investment and tertiary output supported the quarter, while global and monsoon risks remained.
- **Qualification:** The release is under the new base 2022-23 and will be revised.

**Evidence to remember:** MoSPI's 31 August 2026 release placed Q1 FY27 real GDP growth at 7.8% and real GVA at 8.2%.

**Prelims trap:** Do not combine the Q1 FY27 estimate with Survey FY26 FAE as if both use one unchanged series.

**Mains use:** Write date, quarter, base and status in the same sentence as the growth number.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 13 - Investment, GFCF and capacity

### VISUAL FIRST

```
GFCF -> CAPITAL STOCK -> CAPACITY
DEMAND + FINANCE + EXPECTATIONS -> UTILISATION -> NEW CAPEX
```

**Definition:** GFCF records additions to fixed produced assets; capacity utilisation indicates use of installed capacity, not investment itself.

**Answer line:** Investment quality depends on execution, productivity and crowding-in, not expenditure alone.

**Keywords:** GFCF, capital formation, capacity utilisation, crowding-in, productivity

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Investment quality depends on execution, productivity and crowding-in, not expenditure alone.
- **Named evidence:** Q1 FY27 GFCF grew 11.9% at constant prices in MoSPI's 31 August 2026 release.
- **Analysis:** Firm investment growth can support potential output if projects overcome logistics, power, skills and demand constraints.
- **Qualification:** GFCF includes public and private components; it is not a private-capex series.

**Evidence to remember:** Q1 FY27 GFCF grew 11.9% at constant prices in MoSPI's 31 August 2026 release.

**Prelims trap:** High GFCF growth does not prove all projects are productive or completed.

**Mains use:** Connect investment to capacity, productivity, implementation and maintenance.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 14 - Agriculture dashboard

### VISUAL FIRST

```
MONSOON + WATER + INPUTS -> OUTPUT
OUTPUT + PRICES + COSTS -> FARM INCOME -> RURAL DEMAND
```

**Definition:** The agriculture box combines GVA, output, rainfall, reservoirs, sowing, prices, terms of trade and rural demand.

**Answer line:** Agricultural production and farm income can move differently.

**Keywords:** agriculture GVA, monsoon, output, farm income, rural demand, terms of trade

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Agricultural production and farm income can move differently.
- **Named evidence:** MoSPI's 31 August 2026 Q1 FY27 release reported agriculture and allied GVA growth of 3.6% under base 2022-23.
- **Analysis:** Output supports food supply and rural demand, but prices, costs and distribution determine incomes.
- **Qualification:** One quarter cannot settle annual crop outcomes; weather and later estimates matter.

**Evidence to remember:** MoSPI's 31 August 2026 Q1 FY27 release reported agriculture and allied GVA growth of 3.6% under base 2022-23.

**Prelims trap:** Do not equate a good production number with uniformly higher farmer income.

**Mains use:** Use agriculture data as a supply, income and inflation link without duplicating Topic 28.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 15 - Industry dashboard

### VISUAL FIRST

```
GVA = VALUE ADDED
IIP = VOLUME INDEX
CORE = INPUT/INFRA PULSE
PMI = PRIVATE SURVEY SIGNAL
```

**Definition:** The industry box triangulates manufacturing GVA, IIP, core output, capacity, credit, exports and corporate evidence.

**Answer line:** No single industrial indicator is a complete production measure.

**Keywords:** manufacturing GVA, IIP, ICI, capacity, production, triangulation

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** No single industrial indicator is a complete production measure.
- **Named evidence:** Q1 FY27 manufacturing GVA grew 9.2%; July 2026 IIP grew 6.7%; July ICI grew 5.4%, each under official 2022-23-base releases.
- **Analysis:** Convergent signals strengthen a production claim; divergence demands composition and timing analysis.
- **Qualification:** Coverage, weights, frequency and revision status differ across GVA, IIP and ICI.

**Evidence to remember:** Q1 FY27 manufacturing GVA grew 9.2%; July 2026 IIP grew 6.7%; July ICI grew 5.4%, each under official 2022-23-base releases.

**Prelims trap:** Never use PMI or core output as a substitute for manufacturing GVA.

**Mains use:** Triangulate at least two official series before declaring an industrial cycle.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 16 - Services dashboard

### VISUAL FIRST

```
CONTACT SERVICES + DIGITAL SERVICES + FINANCE + LOGISTICS
        -> HETEROGENEOUS OUTPUT AND JOBS
```

**Definition:** The services box combines GVA, trade, transport, finance, digital activity, tourism and formal employment indicators.

**Answer line:** Services-led growth can strengthen exports while remaining uneven in job intensity.

**Keywords:** services GVA, tradability, IT, professional services, employment intensity

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Services-led growth can strengthen exports while remaining uneven in job intensity.
- **Named evidence:** Q1 FY27 tertiary GVA grew 10.0%, with financial, real-estate, IT and professional services at 12.1%, MoSPI 31 August 2026.
- **Analysis:** High-value tradable services support external resilience, but low-productivity and informal services require separate labour evidence.
- **Qualification:** The aggregate includes public and private, tradable and non-tradable activities.

**Evidence to remember:** Q1 FY27 tertiary GVA grew 10.0%, with financial, real-estate, IT and professional services at 12.1%, MoSPI 31 August 2026.

**Prelims trap:** Do not infer universal service-sector productivity from aggregate GVA growth.

**Mains use:** Link services output to exports, jobs and regional concentration without duplicating Topic 24.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 17 - Index of Industrial Production

### VISUAL FIRST

```
MINING + MANUFACTURING + ELECTRICITY/GAS + WATER/WASTE
        -> WEIGHTED IIP, BASE 2022-23
```

**Definition:** IIP is a volume index of short-term industrial output, released first as a Quick Estimate and later revised.

**Answer line:** IIP is timely but narrower than industrial GVA.

**Keywords:** IIP, Quick Estimate, volume index, manufacturing, mining, use-based

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** IIP is timely but narrower than industrial GVA.
- **Named evidence:** MoSPI's 28 August 2026 release put July 2026 IIP growth at 6.7%, manufacturing at 7.3% and mining at -0.9%; figures were Quick Estimates.
- **Analysis:** Sector and use-based components distinguish broad momentum from a concentrated contribution.
- **Qualification:** Base effects, factory response and revisions can alter the first signal.

**Evidence to remember:** MoSPI's 28 August 2026 release put July 2026 IIP growth at 6.7%, manufacturing at 7.3% and mining at -0.9%; figures were Quick Estimates.

**Prelims trap:** IIP growth is not the industrial sector's GDP contribution.

**Mains use:** Use IIP as a high-frequency production signal and label its Quick Estimate status.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 18 - Index of Core Industries

### VISUAL FIRST

```
IRON ORE + COAL + CRUDE + GAS + REFINERY
+ FERTILISERS + STEEL + CEMENT + ELECTRICITY
= REVISED CORE INDEX
```

**Definition:** ICI tracks high-weight infrastructure and intermediate industries that feed wider production.

**Answer line:** Core output is an upstream pulse, not a complete index of industry.

**Keywords:** ICI, core industries, base 2022-23, upstream input, provisional

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Core output is an upstream pulse, not a complete index of industry.
- **Named evidence:** The OEA's 20 August 2026 release reported July 2026 ICI growth of 5.4%, provisional, under base 2022-23.
- **Analysis:** Its input linkages can lead broader industrial activity, while sector-specific shocks can distort the aggregate.
- **Qualification:** The revised 2022-23-base series includes iron ore; older 'eight core industries' descriptions belong to the earlier architecture.

**Evidence to remember:** The OEA's 20 August 2026 release reported July 2026 ICI growth of 5.4%, provisional, under base 2022-23.

**Prelims trap:** Do not mix the old eight-industry weights with the revised series.

**Mains use:** Use ICI to explain upstream capacity and bottlenecks, then cross-check IIP and GVA.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 19 - PMI and private-source caveat

### VISUAL FIRST

```
RESPONSES: BETTER / SAME / WORSE
        -> DIFFUSION INDEX
50 = NO-CHANGE THRESHOLD
```

**Definition:** A Purchasing Managers' Index is a diffusion index from surveyed firms, commonly above 50 for expansion and below 50 for contraction.

**Answer line:** PMI offers speed and direction but not an official output level.

**Keywords:** PMI, diffusion index, private source, threshold, nowcasting

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** PMI offers speed and direction but not an official output level.
- **Named evidence:** India's widely cited PMI is privately produced; this package deliberately carries no undated current PMI number.
- **Analysis:** Survey breadth, respondent composition and sentiment make it useful for nowcasting alongside official series.
- **Qualification:** A value above 50 means more respondents report improvement, not 50% output growth.

**Evidence to remember:** India's widely cited PMI is privately produced; this package deliberately carries no undated current PMI number.

**Prelims trap:** Do not label PMI as MoSPI data or compare its level directly with IIP growth.

**Mains use:** Use PMI only with publisher/date and an official IIP or GVA cross-check.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 20 - CPI architecture

### VISUAL FIRST

```
ITEM PRICES x HOUSEHOLD WEIGHTS
        -> CPI INDEX
YoY CHANGE -> HEADLINE INFLATION
```

**Definition:** CPI measures retail price change in a household-consumption basket with published weights and base year.

**Answer line:** CPI is the inflation-targeting headline but its components and base effects matter.

**Keywords:** CPI, CFPI, retail inflation, basket weights, base 2024, provisional

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** CPI is the inflation-targeting headline but its components and base effects matter.
- **Named evidence:** MoSPI's 12 August 2026 release reported July 2026 combined CPI inflation at 4.45% and CFPI at 5.52%, provisional, base 2024=100.
- **Analysis:** Food inflation can move headline CPI faster than underlying demand-sensitive components.
- **Qualification:** The July print is one month and remains provisional.

**Evidence to remember:** MoSPI's 12 August 2026 release reported July 2026 combined CPI inflation at 4.45% and CFPI at 5.52%, provisional, base 2024=100.

**Prelims trap:** Do not mix CPI base 2024 with the Survey's earlier CPI-series observations without a bridge.

**Mains use:** State headline, food/core decomposition, base and release status.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 21 - WPI architecture

### VISUAL FIRST

```
PRIMARY + FUEL + MANUFACTURES
        -> WPI, BASE 2022-23
PRODUCER STAGE != RETAIL BASKET
```

**Definition:** WPI measures wholesale price change across primary articles, fuel and manufactured products, not household cost of living.

**Answer line:** WPI is useful for pipeline costs but is not the RBI's inflation target.

**Keywords:** WPI, wholesale prices, producer costs, base 2022-23, pass-through

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** WPI is useful for pipeline costs but is not the RBI's inflation target.
- **Named evidence:** OEA's 14 August 2026 release put July 2026 WPI inflation at 9.78%, provisional, base 2022-23.
- **Analysis:** Its divergence from CPI can reflect weights, coverage, taxes, trade margins and transmission lags.
- **Qualification:** A high WPI print need not pass through one-for-one to consumers.

**Evidence to remember:** OEA's 14 August 2026 release put July 2026 WPI inflation at 9.78%, provisional, base 2022-23.

**Prelims trap:** Never call WPI household inflation or compare index levels across different bases.

**Mains use:** Use the July CPI-WPI divergence to demonstrate contradictory signals and transmission.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

# CORE SESSION 22 - Core inflation and decomposition

## VISUAL FIRST

```
HEADLINE CPI
 - FOOD
 - FUEL
 = CORE PROXY
then inspect precious metals / services
```

**Definition:** Core inflation is an analytical exclusion measure, commonly headline CPI excluding food and fuel; it is not a separate statutory target.

**Answer line:** Inflation persistence is read through breadth and components, not one aggregate.

**Keywords:** core inflation, exclusion measure, persistence, breadth, precious metals

## CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Inflation persistence is read through breadth and components, not one aggregate.
- **Named evidence:** RBI's 5 August 2026 statement reported core CPI excluding food and fuel at 3.9% in May-June, and 2.3-2.5% when precious metals were also excluded.
- **Analysis:** The comparison distinguishes broad demand pressure from specific commodity shocks.
- **Qualification:** Definitions of core vary; always name exclusions and period.

**Evidence to remember:** RBI's 5 August 2026 statement reported core CPI excluding food and fuel at 3.9% in May-June, and 2.3-2.5% when precious metals were also excluded.

**Prelims trap:** Do not treat core inflation as an official MoSPI headline series.

**Mains use:** Use core alongside headline, food, fuel, expectations and WPI.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

# CORE SESSION 23 - Base effects and momentum

## VISUAL FIRST

```
YoY RATE = CURRENT LEVEL / YEAR-AGO LEVEL
LOW BASE -> HIGH YoY POSSIBLE
MoM/SAAR -> RECENT MOMENTUM
```

**Definition:** A base effect changes year-on-year growth because the comparison period was unusually high or low; momentum concerns recent sequential movement.

**Answer line:** A dramatic annual rate can coexist with modest current momentum.

**Keywords:** base effect, momentum, year-on-year, sequential growth, level effect

## CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** A dramatic annual rate can coexist with modest current momentum.
- **Named evidence:** FY21's collapse and rebound made later year-on-year GDP rates especially base-sensitive.
- **Analysis:** Compare index levels, sequential change and multi-year averages before calling acceleration.
- **Qualification:** Seasonal adjustment and revisions can alter short-run momentum.

**Evidence to remember:** FY21's collapse and rebound made later year-on-year GDP rates especially base-sensitive.

**Prelims trap:** A high YoY rate after a slump does not prove output is far above the pre-shock path.

**Mains use:** Mention base effect whenever interpreting V-shaped recovery or volatile food inflation.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 24 - Monetary-policy dashboard

### VISUAL FIRST

```
INFLATION + GROWTH + EXPECTATIONS
        -> MPC DECISION
        -> MONEY-MARKET / CREDIT TRANSMISSION
```

**Definition:** The monetary box combines policy rate, stance, inflation outlook, growth outlook and transmission conditions.

**Answer line:** A repo-rate decision is a policy signal, not proof of complete transmission.

**Keywords:** MPC, repo rate, SDF, MSF, neutral stance, transmission

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** A repo-rate decision is a policy signal, not proof of complete transmission.
- **Named evidence:** On 5 August 2026 the MPC kept repo at 5.25%, SDF at 5.00%, MSF and Bank Rate at 5.50%, with a neutral stance.
- **Analysis:** The decision balanced contained underlying inflation against food, fuel, monsoon, oil and global risks.
- **Qualification:** RBI projections are conditional forecasts, not realised outcomes.

**Evidence to remember:** On 5 August 2026 the MPC kept repo at 5.25%, SDF at 5.00%, MSF and Bank Rate at 5.50%, with a neutral stance.

**Prelims trap:** Do not infer tightening or easing merely from the word 'neutral'.

**Mains use:** Cite the decision date and separate rate, stance, forecast and transmission.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 25 - Liquidity conditions

### VISUAL FIRST

```
GOVERNMENT CASH + CURRENCY + RBI OPERATIONS + FX
        -> BANK RESERVES -> MONEY-MARKET RATE
```

**Definition:** System liquidity is the availability of reserves and short-term funds relative to banking-system demand.

**Answer line:** Liquidity and the policy stance are related but not identical.

**Keywords:** liquidity, operating target, SDF, MSF, OMO, CRR

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Liquidity and the policy stance are related but not identical.
- **Named evidence:** RBI uses variable-rate repo/reverse repo, SDF, MSF, OMOs, CRR and forex operations according to conditions.
- **Analysis:** A surplus or deficit changes overnight-rate transmission and bank funding, not automatically the medium-term policy objective.
- **Qualification:** Liquidity changes daily and requires dated RBI operations data.

**Evidence to remember:** RBI uses variable-rate repo/reverse repo, SDF, MSF, OMOs, CRR and forex operations according to conditions.

**Prelims trap:** Do not call every liquidity injection monetary easing.

**Mains use:** Explain the operating corridor and transmission without importing a stale daily balance.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 26 - Bank credit and deposits

### VISUAL FIRST

```
DEPOSITS -> BANK FUNDING -> CREDIT STOCK
CREDIT QUALITY + PRICE + DEMAND -> OUTPUT
```

**Definition:** Bank credit and aggregate deposits are outstanding balance-sheet stocks; their growth rates do not equal new disbursement or productive use.

**Answer line:** Credit growth supports activity only when allocation and repayment capacity are sound.

**Keywords:** bank credit, deposits, outstanding stock, funding, sector deployment

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Credit growth supports activity only when allocation and repayment capacity are sound.
- **Named evidence:** RBI WSS released 21 August 2026 recorded deposits of Rs 269.41 lakh crore and bank credit of Rs 220.78 lakh crore as on 31 July, with YoY growth of 15.4% and 19.3%.
- **Analysis:** Credit outpacing deposits can affect funding costs and liquidity, while sector deployment determines growth impact.
- **Qualification:** Fortnightly stocks include valuation/classification effects and do not measure welfare.

**Evidence to remember:** RBI WSS released 21 August 2026 recorded deposits of Rs 269.41 lakh crore and bank credit of Rs 220.78 lakh crore as on 31 July, with YoY growth of 15.4% and 19.3%.

**Prelims trap:** Do not equate credit-stock growth with identical investment or GDP growth.

**Mains use:** Use credit with deposits, rates, sector deployment and asset quality.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 27 - Banking health

### VISUAL FIRST

```
GNPA + NNPA + PROVISIONS
CRAR + CET1 + LIQUIDITY
PROFITABILITY + STRESS TESTS
```

**Definition:** Banking health combines asset quality, capital, profitability, provisioning, liquidity and concentration.

**Answer line:** One low NPA ratio is insufficient to establish resilience.

**Keywords:** GNPA, NNPA, CRAR, provisions, profitability, stress test

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** One low NPA ratio is insufficient to establish resilience.
- **Named evidence:** Economic Survey 2025-26 reported SCB GNPA at 2.2% and CRAR at 17.2% as of September 2025.
- **Analysis:** Improved asset quality and capital support credit intermediation, but stress tests examine adverse forward scenarios.
- **Qualification:** Survey values are dated September 2025 and are not silently upgraded to September 2026.

**Evidence to remember:** Economic Survey 2025-26 reported SCB GNPA at 2.2% and CRAR at 17.2% as of September 2025.

**Prelims trap:** Do not use a public-sector-bank-only figure as the all-SCB ratio.

**Mains use:** Pair NPA trends with capital, provisioning, profitability and concentration.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 28 - Fiscal Survey versus Budget evidence

### VISUAL FIRST

```
SURVEY -> DIAGNOSIS
BUDGET -> BE + RE + PRIOR ACTUAL
CGA -> MONTHLY / PROVISIONAL OUTTURN
```

**Definition:** Survey fiscal chapters analyse trends; Budget documents present BE/RE/Actual tables and policy proposals; CGA reports realised accounts.

**Answer line:** Fiscal evidence must come from the document appropriate to the claim.

**Keywords:** Survey, Budget, CGA, fiscal evidence, plan, outturn

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Fiscal evidence must come from the document appropriate to the claim.
- **Named evidence:** Budget 2026-27 presented a 4.3%-of-GDP deficit BE; CGA separately released FY26 provisional/unaudited accounts on 1 June 2026.
- **Analysis:** Together they distinguish forward fiscal intention from realised cash accounts.
- **Qualification:** GDP denominator revisions can alter ratios even when rupee amounts are unchanged.

**Evidence to remember:** Budget 2026-27 presented a 4.3%-of-GDP deficit BE; CGA separately released FY26 provisional/unaudited accounts on 1 June 2026.

**Prelims trap:** Do not call Budget 2026-27 BE the current actual deficit.

**Mains use:** Name Survey, Budget or CGA before the number.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 29 - BE, RE and Actual

### VISUAL FIRST

```
BE -> implementation -> RE -> year-end provisional -> audited actual
PLAN ------------------------------> OUTTURN
```

**Definition:** BE is the original annual plan, RE is the in-year revised plan, and Actual or provisional actual records realised transactions.

**Answer line:** Fiscal credibility is judged partly by transparent movement from BE to outturn.

**Keywords:** Budget Estimate, Revised Estimate, provisional actual, audit, variance

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Fiscal credibility is judged partly by transparent movement from BE to outturn.
- **Named evidence:** Budget tables show FY25 Actual, FY26 BE/RE and FY27 BE in adjacent columns; CGA's FY26 accounts are provisional and unaudited.
- **Analysis:** Comparing like stages reveals forecasting error, execution and shocks.
- **Qualification:** Provisional actual is still subject to audit and classification change.

**Evidence to remember:** Budget tables show FY25 Actual, FY26 BE/RE and FY27 BE in adjacent columns; CGA's FY26 accounts are provisional and unaudited.

**Prelims trap:** Never compare a BE amount with an Actual ratio without naming both stages and GDP vintages.

**Mains use:** Use BE-RE-Actual bridges to assess implementation rather than rhetoric.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 30 - Fiscal, revenue and primary deficits

### VISUAL FIRST

```
FISCAL DEFICIT = EXPENDITURE - NON-DEBT RECEIPTS
PRIMARY DEFICIT = FISCAL DEFICIT - INTEREST
REVENUE DEFICIT = REVENUE EXP - REVENUE RECEIPTS
```

**Definition:** Fiscal deficit is total expenditure minus non-debt receipts; revenue deficit isolates current-account imbalance; primary deficit subtracts interest payments.

**Answer line:** Deficit composition matters as much as the headline ratio.

**Keywords:** fiscal deficit, revenue deficit, primary deficit, non-debt receipts, interest

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Deficit composition matters as much as the headline ratio.
- **Named evidence:** Budget 2026-27 BE placed fiscal deficit at Rs 16.96 lakh crore or 4.3% of GDP and revenue deficit at 1.5% of GDP.
- **Analysis:** A lower revenue deficit with protected capex can improve intertemporal fiscal quality.
- **Qualification:** Primary balance interpretation depends on interest costs and the economic cycle.

**Evidence to remember:** Budget 2026-27 BE placed fiscal deficit at Rs 16.96 lakh crore or 4.3% of GDP and revenue deficit at 1.5% of GDP.

**Prelims trap:** Fiscal deficit is not identical to public debt or current borrowing needs across all entities.

**Mains use:** State the formula and then evaluate composition and financing.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 31 - FY26 provisional fiscal outturn

### VISUAL FIRST

```
FY26 PROVISIONAL
RECEIPTS 33.85982
EXPENDITURE 49.05151
DIFFERENCE 15.19169 LAKH CRORE
```

**Definition:** CGA provisional accounts are realised cash-based Union government figures released after year-end but before final audit.

**Answer line:** Outturn evidence should replace the earlier RE when assessing completed FY26 cash operations.

**Keywords:** CGA, provisional accounts, receipts, expenditure, fiscal outturn

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Outturn evidence should replace the earlier RE when assessing completed FY26 cash operations.
- **Named evidence:** CGA's 1 June 2026 release reported receipts of Rs 33,85,982 crore and expenditure of Rs 49,05,151 crore, provisional/unaudited.
- **Analysis:** The arithmetic difference is Rs 15,19,169 crore; the official monthly report records it as 97.5% of FY26 RE.
- **Qualification:** The ratio to GDP can change with national-account revisions; the rupee amount and status are safer.

**Evidence to remember:** CGA's 1 June 2026 release reported receipts of Rs 33,85,982 crore and expenditure of Rs 49,05,151 crore, provisional/unaudited.

**Prelims trap:** Do not label provisional CGA accounts as audited final accounts.

**Mains use:** Use the outturn to test Budget execution while retaining audit qualification.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

# CORE SESSION 32 - Debt dynamics and interest burden

## VISUAL FIRST

```
CHANGE IN DEBT RATIO
~ PRIMARY DEFICIT + (r-g) x DEBT + ADJUSTMENTS
```

**Definition:** Debt sustainability depends on the primary balance, effective interest rate, nominal growth, valuation and contingent liabilities.

**Answer line:** A falling fiscal deficit does not automatically reduce the debt ratio.

**Keywords:** public debt, primary balance, interest-growth differential, contingent liability

## CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** A falling fiscal deficit does not automatically reduce the debt ratio.
- **Named evidence:** Budget and Survey fiscal chapters track consolidation alongside interest payments, capex and state finances.
- **Analysis:** When nominal growth exceeds the effective interest rate, debt dynamics improve, but persistent primary deficits and shocks can offset it.
- **Qualification:** The approximation omits exchange-rate, asset-sale and stock-flow adjustments.

**Evidence to remember:** Budget and Survey fiscal chapters track consolidation alongside interest payments, capex and state finances.

**Prelims trap:** Do not infer sustainability from one year's deficit alone.

**Mains use:** Use the r-g-primary-balance framework and mention contingent liabilities.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

# CORE SESSION 33 - Public capex and fiscal quality

## VISUAL FIRST

```
REVENUE SPENDING -> CURRENT SERVICES/TRANSFERS
CAPEX -> ASSET
EFFECTIVE CAPEX = CAPEX + CAPITAL-ASSET GRANTS
```

**Definition:** Capital expenditure creates or acquires assets; effective capex adds grants for creation of capital assets.

**Answer line:** Capex can crowd in private activity when projects are productive and executed.

**Keywords:** capital expenditure, effective capex, crowding-in, execution, asset quality

## CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Capex can crowd in private activity when projects are productive and executed.
- **Named evidence:** Budget 2026-27 BE allocated Rs 12.22 lakh crore to capital expenditure and Rs 17.15 lakh crore to effective capex.
- **Analysis:** Infrastructure and state support can lift capacity, but appraisal, delays, maintenance and land costs determine returns.
- **Qualification:** Budget allocation is not completed asset creation.

**Evidence to remember:** Budget 2026-27 BE allocated Rs 12.22 lakh crore to capital expenditure and Rs 17.15 lakh crore to effective capex.

**Prelims trap:** Do not classify every grant or loan as equivalent quality investment.

**Mains use:** Assess composition, implementation and lifecycle service delivery.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 34 - Balance of Payments architecture

### VISUAL FIRST

```
CURRENT ACCOUNT
+ CAPITAL ACCOUNT
+ FINANCIAL ACCOUNT
+ ERRORS/OMISSIONS
= CHANGE IN RESERVE ASSETS
```

**Definition:** BoP records resident-non-resident transactions through current, capital and financial accounts plus errors and omissions.

**Answer line:** External analysis must reconcile transactions, financing and reserve movement.

**Keywords:** balance of payments, current account, financial account, reserve assets

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** External analysis must reconcile transactions, financing and reserve movement.
- **Named evidence:** RBI's 1 September 2026 release provides Q1 FY27 current and financial-account components and BoP-basis reserve change.
- **Analysis:** A current-account deficit can coexist with reserve accumulation or depletion depending on capital flows and valuation conventions.
- **Qualification:** Weekly reserve-stock changes and BoP-basis transactions are not identical.

**Evidence to remember:** RBI's 1 September 2026 release provides Q1 FY27 current and financial-account components and BoP-basis reserve change.

**Prelims trap:** Do not call every capital inflow a current-account receipt.

**Mains use:** Use the accounting map before interpreting external vulnerability.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 35 - Current account

### VISUAL FIRST

```
GOODS + SERVICES + PRIMARY INCOME + TRANSFERS
        -> CURRENT ACCOUNT BALANCE
```

**Definition:** The current account combines trade in goods/services, primary income and secondary income over a period.

**Answer line:** CAD sustainability depends on size, persistence, financing quality and productive use.

**Keywords:** CAD, merchandise deficit, services surplus, primary income, remittances

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** CAD sustainability depends on size, persistence, financing quality and productive use.
- **Named evidence:** RBI reported Q1 FY27 CAD of USD 4.2 billion, 0.5% of GDP, released 1 September 2026.
- **Analysis:** A larger merchandise deficit was partly cushioned by services and remittances.
- **Qualification:** One-quarter CAD is a flow and should not be annualised mechanically.

**Evidence to remember:** RBI reported Q1 FY27 CAD of USD 4.2 billion, 0.5% of GDP, released 1 September 2026.

**Prelims trap:** Do not interpret a small CAD as proof that every external component improved.

**Mains use:** Pair CAD with trade composition, capital flows, reserves and external debt.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 36 - Merchandise trade

### VISUAL FIRST

```
EXPORTS - IMPORTS = MERCHANDISE BALANCE
VALUE = PRICE x QUANTITY x EXCHANGE EFFECT
```

**Definition:** Merchandise exports and imports are customs-based goods flows, reported monthly and cumulatively.

**Answer line:** Trade growth requires price-volume and composition analysis.

**Keywords:** merchandise trade, customs data, price-volume, trade deficit, composition

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Trade growth requires price-volume and composition analysis.
- **Named evidence:** Commerce's 13 August 2026 release recorded July merchandise exports USD 44.24 billion and imports USD 76.22 billion; April-July exports were USD 173.78 billion and imports USD 292.38 billion.
- **Analysis:** The deficit can widen during strong domestic investment or commodity-price shocks, not only weak competitiveness.
- **Qualification:** Monthly values are volatile and may be revised.

**Evidence to remember:** Commerce's 13 August 2026 release recorded July merchandise exports USD 44.24 billion and imports USD 76.22 billion; April-July exports were USD 173.78 billion and imports USD 292.38 billion.

**Prelims trap:** Do not combine a monthly trade value with an annual GDP denominator.

**Mains use:** Use non-petroleum and sector composition before judging export quality.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 37 - Services trade estimation

### VISUAL FIRST

```
MERCHANDISE: OBSERVED MONTHLY
SERVICES: LATEST RBI ACTUAL + ESTIMATION
TOTAL: MIXED STATUS
```

**Definition:** Monthly combined trade releases may estimate services because RBI's definitive services data arrive with a lag.

**Answer line:** A combined trade total inherits the status of its least-final component.

**Keywords:** services exports, estimation, RBI lag, combined trade, revision

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** A combined trade total inherits the status of its least-final component.
- **Named evidence:** The 13 August 2026 Commerce release estimated July services exports at USD 35.89 billion and imports at USD 18.94 billion because latest RBI services data were for June.
- **Analysis:** The estimate offers timeliness but should be replaced when RBI data arrive.
- **Qualification:** The release also revised prior-period services on a pro-rata basis.

**Evidence to remember:** The 13 August 2026 Commerce release estimated July services exports at USD 35.89 billion and imports at USD 18.94 billion because latest RBI services data were for June.

**Prelims trap:** Do not present estimated July services as a final RBI observation.

**Mains use:** Use merchandise and services separately, with status labels.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 38 - Capital flows

### VISUAL FIRST

```
FDI -> ownership + longer horizon
FPI -> marketable claims
ECB/NRI -> debt/deposit obligations
```

**Definition:** FDI, FPI, external borrowing and non-resident deposits differ in ownership, maturity, volatility and risk sharing.

**Answer line:** The financing mix matters beyond the current-account balance.

**Keywords:** FDI, FPI, ECB, NRI deposits, financing mix, volatility

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The financing mix matters beyond the current-account balance.
- **Named evidence:** RBI's Q1 FY27 BoP release recorded net FDI inflow USD 6.1 billion, net FPI outflow USD 9.6 billion, NRI-deposit inflow USD 2.8 billion and ECB inflow USD 3.3 billion.
- **Analysis:** Stable or risk-sharing finance generally reduces rollover pressure compared with short-term debt-like flows.
- **Qualification:** Even FDI can include disinvestment; gross and net flows differ.

**Evidence to remember:** RBI's Q1 FY27 BoP release recorded net FDI inflow USD 6.1 billion, net FPI outflow USD 9.6 billion, NRI-deposit inflow USD 2.8 billion and ECB inflow USD 3.3 billion.

**Prelims trap:** Do not call every foreign inflow stable or every outflow a crisis.

**Mains use:** Compare composition, maturity and reversibility.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 39 - Foreign-exchange reserves

### VISUAL FIRST

```
FCA + GOLD + SDR + IMF RESERVE POSITION
        -> TOTAL RESERVES @ DATE
```

**Definition:** Forex reserves are RBI-controlled external assets comprising foreign currency assets, gold, SDRs and the IMF reserve position.

**Answer line:** Reserves provide insurance and intervention capacity but carry valuation effects and opportunity cost.

**Keywords:** forex reserves, FCA, gold, SDR, import cover, valuation

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Reserves provide insurance and intervention capacity but carry valuation effects and opportunity cost.
- **Named evidence:** RBI's WSS released 4 September 2026 placed reserves at USD 740.803 billion as on 28 August 2026.
- **Analysis:** Adequacy should be read with imports, short-term debt, capital-flow risk and exchange flexibility.
- **Qualification:** Weekly stock change combines transactions and valuation; it is not the BoP reserve-flow measure.

**Evidence to remember:** RBI's WSS released 4 September 2026 placed reserves at USD 740.803 billion as on 28 August 2026.

**Prelims trap:** Do not infer an equal current-account surplus from reserve accumulation.

**Mains use:** Cite the exact stock date and pair reserves with external liabilities.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 40 - External debt

### VISUAL FIRST

```
TOTAL EXTERNAL DEBT
-> LONG / SHORT ORIGINAL MATURITY
-> RESIDUAL MATURITY
-> GOVERNMENT / PRIVATE
-> CURRENCY
```

**Definition:** External debt is outstanding liability to non-residents, classified by maturity, currency, instrument and borrower.

**Answer line:** Debt vulnerability depends on repayment profile and reserves, not the dollar total alone.

**Keywords:** external debt, residual maturity, currency composition, debt service

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Debt vulnerability depends on repayment profile and reserves, not the dollar total alone.
- **Named evidence:** RBI's 29 June 2026 release placed end-March 2026 external debt at USD 762.8 billion, 20.8% of GDP; residual-maturity short-term debt was 42.9% of total.
- **Analysis:** Residual maturity captures long-term debt due within one year and is relevant to near-term liquidity.
- **Qualification:** Valuation changes altered the dollar stock; government and private debt must remain distinct.

**Evidence to remember:** RBI's 29 June 2026 release placed end-March 2026 external debt at USD 762.8 billion, 20.8% of GDP; residual-maturity short-term debt was 42.9% of total.

**Prelims trap:** Do not treat all external debt as sovereign debt.

**Mains use:** Use debt/GDP, debt service, currency and residual maturity together.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 41 - Exchange-rate dashboard

### VISUAL FIRST

```
GLOBAL DOLLAR + CAPITAL FLOWS + TRADE + EXPECTATIONS
        -> EXCHANGE RATE
        -> INFLATION / EXPORT / BALANCE-SHEET EFFECTS
```

**Definition:** The exchange-rate box combines nominal bilateral movement, effective rates, volatility, intervention and pass-through.

**Answer line:** Exchange-rate movement is an adjustment variable, not a one-direction policy score.

**Keywords:** exchange rate, depreciation, pass-through, REER, intervention, hedging

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Exchange-rate movement is an adjustment variable, not a one-direction policy score.
- **Named evidence:** RBI's August 2026 policy statement cited an appreciating US dollar, elevated yields and volatile global markets as external risks.
- **Analysis:** Depreciation can support competitiveness but raise imported inflation and foreign-currency debt costs.
- **Qualification:** Spot movement alone does not establish misalignment or manipulation.

**Evidence to remember:** RBI's August 2026 policy statement cited an appreciating US dollar, elevated yields and volatile global markets as external risks.

**Prelims trap:** Do not confuse depreciation with official devaluation under a fixed peg.

**Mains use:** Link exchange movement to inflation, trade, capital flows and hedging.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 42 - PLFS labour dashboard

### VISUAL FIRST

```
WORKING-AGE POPULATION
 -> LABOUR FORCE -> EMPLOYED / UNEMPLOYED
LFPR | WPR | UR
```

**Definition:** PLFS measures labour-force participation, employment and unemployment under stated status concepts and age groups.

**Answer line:** Employment evidence is meaningful only with status, age, geography and reference period.

**Keywords:** PLFS, LFPR, WPR, unemployment rate, CWS, usual status

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Employment evidence is meaningful only with status, age, geography and reference period.
- **Named evidence:** MoSPI's 17 August 2026 monthly bulletin reported July 2026 all-India CWS age-15+ LFPR 55.4%, WPR 52.5% and UR 5.1%.
- **Analysis:** LFPR growth can raise measured unemployment if labour-force entry outpaces job creation, while WPR directly tracks employment-population share.
- **Qualification:** Monthly CWS is not comparable without care to annual usual-status PLFS.

**Evidence to remember:** MoSPI's 17 August 2026 monthly bulletin reported July 2026 all-India CWS age-15+ LFPR 55.4%, WPR 52.5% and UR 5.1%.

**Prelims trap:** Do not quote a PLFS rate without age group and status approach.

**Mains use:** Use LFPR, WPR and UR together, then discuss earnings and job quality.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 43 - Employment quality and formalisation

### VISUAL FIRST

```
HEADCOUNT -> STATUS -> HOURS -> EARNINGS
        -> SECURITY -> PRODUCTIVITY
```

**Definition:** Job quantity, employment status, earnings, hours, security, productivity and social protection are separate dimensions.

**Answer line:** A lower unemployment rate can coexist with underemployment or low-quality self-employment.

**Keywords:** job quality, self-employment, regular wage, casual labour, formalisation

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** A lower unemployment rate can coexist with underemployment or low-quality self-employment.
- **Named evidence:** PLFS classifications and formal payroll indicators answer different questions.
- **Analysis:** Triangulation distinguishes labour absorption from wage, productivity and social-security improvement.
- **Qualification:** Payroll additions are administrative events and can include job changes or formalisation.

**Evidence to remember:** PLFS classifications and formal payroll indicators answer different questions.

**Prelims trap:** Do not call every employed person formally protected.

**Mains use:** Use quantity-quality-productivity-security as the employment paragraph spine.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 44 - Poverty and social indicators

### VISUAL FIRST

```
GROWTH -> INCOME/CONSUMPTION
PUBLIC SERVICES -> CAPABILITIES
SHOCKS -> VULNERABILITY
DISTRIBUTION -> INCLUSION
```

**Definition:** Poverty and inclusion require consumption, multidimensional deprivation, access, outcome and distribution indicators rather than GDP alone.

**Answer line:** A macro dashboard should test whether growth reaches household welfare.

**Keywords:** HCES, MPCE, poverty line, MPI, inequality, capability

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** A macro dashboard should test whether growth reaches household welfare.
- **Named evidence:** MoSPI's HCES 2023-24 report released 30 January 2025 recorded MPCE without imputation at Rs 4,122 rural and Rs 6,996 urban; no new official national poverty ratio is inferred here.
- **Analysis:** Consumption levels and inequality help assess living standards but do not exhaust health, education or vulnerability.
- **Qualification:** NITI's MPI estimates use a different multidimensional method and period.

**Evidence to remember:** MoSPI's HCES 2023-24 report released 30 January 2025 recorded MPCE without imputation at Rs 4,122 rural and Rs 6,996 urban; no new official national poverty ratio is inferred here.

**Prelims trap:** Do not manufacture a poverty headcount from MPCE without an official poverty line and method.

**Mains use:** Use dated welfare evidence briefly and cross-link Topic 23.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 45 - Leading, coincident and lagging indicators

### VISUAL FIRST

```
LEADING -> expectations/orders/financial conditions
COINCIDENT -> output/sales
LAGGING -> unemployment/NPA confirmation
```

**Definition:** Leading indicators tend to move before activity, coincident indicators with it, and lagging indicators after it; classification is empirical, not immutable.

**Answer line:** Indicator timing determines how it should enter a forecast or diagnosis.

**Keywords:** leading indicator, coincident indicator, lagging indicator, turning point

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Indicator timing determines how it should enter a forecast or diagnosis.
- **Named evidence:** PMI new orders can lead, IIP and tax collections can be broadly coincident, while final employment or NPA outcomes often lag.
- **Analysis:** Combining timing classes reduces false turning-point calls.
- **Qualification:** Relationships shift across shocks, sectors and policy regimes.

**Evidence to remember:** PMI new orders can lead, IIP and tax collections can be broadly coincident, while final employment or NPA outcomes often lag.

**Prelims trap:** Do not classify an indicator permanently without context.

**Mains use:** Name why the indicator leads or lags through a mechanism.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 46 - High-frequency versus structural indicators

### VISUAL FIRST

```
DAILY/WEEKLY/MONTHLY SIGNALS -> NOWCAST
ANNUAL/DECADE STRUCTURE -> POTENTIAL GROWTH
```

**Definition:** High-frequency indicators update quickly; structural indicators capture slower capacity, productivity, institutions and human capital.

**Answer line:** Speed improves diagnosis but does not replace structural measurement.

**Keywords:** high-frequency indicator, structural indicator, nowcast, potential growth

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Speed improves diagnosis but does not replace structural measurement.
- **Named evidence:** Payments, freight, power and PMI can update activity before annual accounts; productivity, demographics and learning outcomes move more slowly.
- **Analysis:** A strong near-term pulse can coexist with weak structural transformation.
- **Qualification:** High-frequency series can be noisy, seasonal and coverage-biased.

**Evidence to remember:** Payments, freight, power and PMI can update activity before annual accounts; productivity, demographics and learning outcomes move more slowly.

**Prelims trap:** Do not treat digital transactions as GDP or structural productivity.

**Mains use:** Separate cyclical nowcast from potential-growth assessment.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 47 - Nowcasting

### VISUAL FIRST

```
MANY TIMELY SIGNALS
 -> MODEL / WEIGHTS
 -> CURRENT-QUARTER ESTIMATE
 -> REVISION WHEN HARD DATA ARRIVE
```

**Definition:** Nowcasting estimates the current or near-current state before comprehensive official data are available.

**Answer line:** A nowcast is a model output, not an official realised account.

**Keywords:** nowcasting, model, high-frequency data, uncertainty, revision

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** A nowcast is a model output, not an official realised account.
- **Named evidence:** Economic Survey 2025-26 discusses integrating high-frequency indicators into a growth nowcasting model.
- **Analysis:** Nowcasts organise incomplete information and quantify uncertainty.
- **Qualification:** Model specification, pandemic breaks, missing data and revisions can cause large errors.

**Evidence to remember:** Economic Survey 2025-26 discusses integrating high-frequency indicators into a growth nowcasting model.

**Prelims trap:** Do not cite a nowcast as MoSPI GDP unless MoSPI publishes that estimate.

**Mains use:** Use it as a conditional signal with a range and update rule.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

# CORE SESSION 48 - Triangulation

## VISUAL FIRST

```
CLAIM
 / GDP-GVA
 / IIP-ICI-PMI
 / CPI-WPI
 / PLFS-PAYROLL
 / TRADE-BoP
= ROBUST OR CONTESTED
```

**Definition:** Triangulation tests a claim against independent indicators with different coverage and measurement errors.

**Answer line:** Agreement across independent series raises confidence; divergence creates a question, not an automatic error.

**Keywords:** triangulation, measurement error, coverage, convergence, divergence

## CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Agreement across independent series raises confidence; divergence creates a question, not an automatic error.
- **Named evidence:** July 2026 official data showed IIP growth 6.7%, ICI growth 5.4%, CPI inflation 4.45% and WPI inflation 9.78%.
- **Analysis:** The combination suggests industrial expansion alongside stronger producer-price pressure than retail inflation.
- **Qualification:** Different bases, weights and reference populations limit direct arithmetic comparison.

**Evidence to remember:** July 2026 official data showed IIP growth 6.7%, ICI growth 5.4%, CPI inflation 4.45% and WPI inflation 9.78%.

**Prelims trap:** Do not average unlike indicators into a synthetic number.

**Mains use:** Use triangulation to explain direction, composition and uncertainty.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

# CORE SESSION 49 - Contradictory signals

## VISUAL FIRST

```
HEADLINE STRONG
  |-> component weak?
  |-> base effect?
  |-> price/volume split?
  `-> different population/vintage?
```

**Definition:** Contradictory signals occur when indicators move differently because they measure different stages, sectors, populations or time windows.

**Answer line:** Divergence is often the analytical core of a good macro answer.

**Keywords:** contradictory signals, decomposition, pass-through, heterogeneity, cherry-picking

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Divergence is often the analytical core of a good macro answer.
- **Named evidence:** July 2026 CPI was 4.45% while WPI was 9.78%; Q1 GDP/GVA were strong while agriculture grew more slowly than tertiary output.
- **Analysis:** Retail pass-through lags and sectoral heterogeneity can reconcile the signals.
- **Qualification:** Contradiction may also reveal data error or structural change; it must be investigated, not rationalised automatically.

**Evidence to remember:** July 2026 CPI was 4.45% while WPI was 9.78%; Q1 GDP/GVA were strong while agriculture grew more slowly than tertiary output.

**Prelims trap:** Do not cherry-pick the indicator that supports a preferred conclusion.

**Mains use:** Write headline, counter-signal, mechanism and qualification.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 50 - Survey 2025-26 growth thesis

### VISUAL FIRST

```
CURRENT MOMENTUM
 + PRODUCTIVITY REFORM
 + STATE CAPACITY
 + GLOBAL INTEGRATION
 -> HIGHER POTENTIAL
```

**Definition:** The Survey's growth thesis combines domestic-demand resilience with a reform agenda to raise potential output.

**Answer line:** The Survey distinguishes cyclical resilience from the next structural growth frontier.

**Keywords:** growth frontier, domestic demand, potential growth, productivity, execution

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The Survey distinguishes cyclical resilience from the next structural growth frontier.
- **Named evidence:** It placed FY26 real GDP growth at 7.4% FAE and projected FY27 at 6.8-7.2%, with medium-term potential around 7%.
- **Analysis:** Consumption and capital formation support demand, while manufacturing, logistics, skills and execution determine sustainable capacity.
- **Qualification:** The projections are January 2026 vintage and precede the new 2022-23-base series.

**Evidence to remember:** It placed FY26 real GDP growth at 7.4% FAE and projected FY27 at 6.8-7.2%, with medium-term potential around 7%.

**Prelims trap:** Do not treat the Survey range as a guaranteed outturn.

**Mains use:** Use the thesis as diagnosis, then update evidence and test implementation.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 51 - Survey chapter architecture

### VISUAL FIRST

```
1-5 MACRO | 6-10 SECTORS/INFRA/CLIMATE
11-15 HUMAN CAPABILITY/AI/URBAN
16 STRATEGIC RESILIENCE + INDISPENSABILITY
```

**Definition:** The latest verified Survey organises macro, sectoral and institutional arguments across sixteen chapters.

**Answer line:** Chapter architecture reveals the Survey's policy logic beyond isolated facts.

**Keywords:** chapter synthesis, macro stability, capability, state capacity, resilience

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Chapter architecture reveals the Survey's policy logic beyond isolated facts.
- **Named evidence:** Economic Survey 2025-26 covers economy, fiscal, monetary-finance, external, inflation, agriculture, services, industry, infrastructure, climate, education-health, skills, rural progress, AI, urbanisation and strategic resilience.
- **Analysis:** The sequence links stability to productivity, capability and global positioning.
- **Qualification:** A chapter theme is an argument, not proof that every recommendation was enacted.

**Evidence to remember:** Economic Survey 2025-26 covers economy, fiscal, monetary-finance, external, inflation, agriculture, services, industry, infrastructure, climate, education-health, skills, rural progress, AI, urbanisation and strategic resilience.

**Prelims trap:** Do not reduce the Survey to a list of headline numbers.

**Mains use:** Use two or three chapter arguments relevant to the demand.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 52 - Strategic resilience versus indispensability

### VISUAL FIRST

```
RESILIENCE -> WITHSTAND DISRUPTION
INDISPENSABILITY -> CREATE VALUE OTHERS NEED
```

**Definition:** Strategic resilience is the ability to absorb shocks; strategic indispensability is becoming difficult for partners to substitute in global systems.

**Answer line:** The Survey's trade-industry thesis goes beyond defensive self-reliance.

**Keywords:** strategic resilience, strategic indispensability, GVC, capability, integration

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The Survey's trade-industry thesis goes beyond defensive self-reliance.
- **Named evidence:** Economic Survey 2025-26's concluding chapter links manufacturing, exports, state capacity and selective indigenisation to strategic indispensability.
- **Analysis:** Integration and capability can reduce vulnerability more sustainably than blanket insulation.
- **Qualification:** Security exceptions can create high input costs or rent seeking if not disciplined.

**Evidence to remember:** Economic Survey 2025-26's concluding chapter links manufacturing, exports, state capacity and selective indigenisation to strategic indispensability.

**Prelims trap:** Do not equate indispensability with autarky.

**Mains use:** Use this distinction in global-shock and manufacturing answers.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 53 - Deregulation and state capacity

### VISUAL FIRST

```
REMOVE LOW-VALUE RULES
+ DIGITISE PROCESSES
+ ACCOUNTABLE DISCRETION
+ ENFORCE HIGH-VALUE RULES
```

**Definition:** Deregulation removes unnecessary compliance burdens; smart regulation retains proportionate rules for safety, competition, finance and environment.

**Answer line:** Better state capacity is selective and outcome-oriented, not simply fewer rules.

**Keywords:** deregulation, smart regulation, state capacity, compliance cost, enforcement

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Better state capacity is selective and outcome-oriented, not simply fewer rules.
- **Named evidence:** Economic Survey 2025-26 presents deregulation and implementation capability as mutually reinforcing reform themes.
- **Analysis:** Lower transaction costs can raise formalisation and investment when grievance, transparency and enforcement improve.
- **Qualification:** Weak enforcement can turn deregulation into risk transfer.

**Evidence to remember:** Economic Survey 2025-26 presents deregulation and implementation capability as mutually reinforcing reform themes.

**Prelims trap:** Do not present all regulation as an obstacle to growth.

**Mains use:** Balance compliance reduction with public-interest safeguards.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 54 - Diagnosis, recommendation and enacted policy

### VISUAL FIRST

```
EVIDENCE -> DIAGNOSIS -> RECOMMENDATION
                    X
NOTIFICATION / LAW / BUDGET -> OPERATIVE POLICY
```

**Definition:** A diagnosis describes a problem, a recommendation proposes action, and enacted policy has passed the relevant legal or administrative authority.

**Answer line:** Verbs must match policy status.

**Keywords:** diagnosis, recommendation, announcement, notification, implementation

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Verbs must match policy status.
- **Named evidence:** The Survey may recommend reform; the Budget may allocate; MoSPI and RBI separately publish statistics and regulatory decisions.
- **Analysis:** Separating stages prevents false implementation claims and improves accountability.
- **Qualification:** Announcements can remain unfunded or unnotified.

**Evidence to remember:** The Survey may recommend reform; the Budget may allocate; MoSPI and RBI separately publish statistics and regulatory decisions.

**Prelims trap:** Do not write 'government implemented' merely because the Survey endorsed an idea.

**Mains use:** Use status verbs: observed, argued, proposed, budgeted, notified, operational.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 55 - Global spillovers and current risks

### VISUAL FIRST

```
GEOPOLITICS / OIL / RATES / TRADE BARRIERS
 -> INFLATION + EXPORTS + CAPITAL FLOWS
 -> POLICY TRADE-OFF
```

**Definition:** Global shocks transmit through energy prices, trade demand, shipping, capital flows, exchange rates, technology controls and confidence.

**Answer line:** Domestic resilience reduces but does not eliminate imported shocks.

**Keywords:** global spillover, oil, yields, dollar, trade policy, monsoon

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Domestic resilience reduces but does not eliminate imported shocks.
- **Named evidence:** RBI's 5 August 2026 statement flagged West Asia conflict, volatile oil, sticky global inflation, elevated yields, US-dollar strength and fragile public finances; it also noted El Nino and uneven monsoon risk.
- **Analysis:** Each shock affects inflation, growth, fiscal costs and the external account through different channels.
- **Qualification:** The direction and magnitude depend on hedging, inventories, policy response and duration.

**Evidence to remember:** RBI's 5 August 2026 statement flagged West Asia conflict, volatile oil, sticky global inflation, elevated yields, US-dollar strength and fragile public finances; it also noted El Nino and uneven monsoon risk.

**Prelims trap:** Do not list global risks without a transmission mechanism.

**Mains use:** Write shock -> channel -> domestic variable -> policy trade-off.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 56 - Revision-safe dashboard template

### VISUAL FIRST

```
STATIC COLUMN: definition/formula/source
CURRENT COLUMN: value/period/release/status
ANALYSIS: trend/cause/risk/policy
NEXT UPDATE: named release
```

**Definition:** A revision-safe dashboard stores static definitions separately from replaceable dated observations.

**Answer line:** A good dashboard is designed for replacement, not permanent memorisation of one snapshot.

**Keywords:** dashboard template, update protocol, vintage, next release, audit trail

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** A good dashboard is designed for replacement, not permanent memorisation of one snapshot.
- **Named evidence:** The September 2026 rail uses MoSPI, RBI, CGA, Commerce and OEA releases with explicit next-release dependency.
- **Analysis:** Separating static theory from current cells preserves conceptual notes when data change.
- **Qualification:** A dashboard still requires source reconciliation when base years or methods change.

**Evidence to remember:** The September 2026 rail uses MoSPI, RBI, CGA, Commerce and OEA releases with explicit next-release dependency.

**Prelims trap:** Do not overwrite historical values without retaining their vintage.

**Mains use:** Use a six-field cell and mark the next expected official source.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 57 - UPSC dated-fact answer method

### VISUAL FIRST

```
DATED FACT -> TREND -> CAUSE
          -> RISK / COUNTER-SIGNAL
          -> POLICY + QUALIFICATION
```

**Definition:** The exam method converts one dated fact into a trend, mechanism, risk and policy implication.

**Answer line:** One precise, qualified statistic is stronger than a data dump.

**Keywords:** dated fact, trend, cause, risk, policy, qualification

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** One precise, qualified statistic is stronger than a data dump.
- **Named evidence:** Example: July CPI 4.45% and WPI 9.78%, both provisional but from different baskets and bases.
- **Analysis:** The divergence supports analysis of pipeline cost, pass-through and monetary caution.
- **Qualification:** It does not prove future CPI acceleration or broad demand overheating.

**Evidence to remember:** Example: July CPI 4.45% and WPI 9.78%, both provisional but from different baskets and bases.

**Prelims trap:** Never stack unmatched numbers without an argument.

**Mains use:** Build every paragraph as fact + trend + cause + risk + policy.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## CORE SESSION 58 - Integrated macro stability

### VISUAL FIRST

```
GROWTH x PRICES x FISCAL x BANKING x EXTERNAL x JOBS
NO SINGLE BOX CAN VETO THE REST
```

**Definition:** Macro stability is the joint condition of sustainable growth, anchored inflation, credible public finance, sound finance and manageable external exposure.

**Answer line:** Stability is multidimensional and forward-looking.

**Keywords:** macro stability, growth, inflation, fiscal credibility, external resilience

### CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Stability is multidimensional and forward-looking.
- **Named evidence:** By the cutoff, Q1 growth was firm, RBI held a neutral 5.25% repo, July CPI was 4.45%, FY27 deficit BE was 4.3% of GDP, and Q1 CAD was 0.5% of GDP.
- **Analysis:** The dashboard suggests resilience but WPI pressure, global shocks, sector unevenness and revision risk require caution.
- **Qualification:** Indicators have different dates, bases and statuses and must not be fused into one index.

**Evidence to remember:** By the cutoff, Q1 growth was firm, RBI held a neutral 5.25% repo, July CPI was 4.45%, FY27 deficit BE was 4.3% of GDP, and Q1 CAD was 0.5% of GDP.

**Prelims trap:** Do not call the economy stable from GDP alone.

**Mains use:** Conclude with balanced evidence and named downside risks.

**Recap:** Definition, dated evidence, mechanism and qualification must travel together.

## OPTIONAL ADVANCED

These refinements are not required for a first pass. Use them to improve qualification, forecast literacy and data governance.

### ADVANCED 01 - Real-time data revisions

Study revision triangles: compare successive estimates for the same reference period to identify systematic bias, shock sensitivity and uncertainty bands.

### ADVANCED 02 - Mixed-frequency nowcasting

State-space, bridge and dynamic-factor models combine daily, monthly and quarterly data, but model stability and pandemic breaks require judgment.

### ADVANCED 03 - Seasonal adjustment

Month-on-month or quarter-on-quarter momentum needs seasonally adjusted data; year-on-year comparisons remove some seasonality but import base effects.

### ADVANCED 04 - Output gap

Potential output is unobserved. Filter-, production-function- and survey-based estimates can diverge, so policy should use ranges rather than one precise gap.

### ADVANCED 05 - Fiscal impulse

The change in cyclically adjusted primary balance is conceptually closer to discretionary stance than the raw deficit, but India-specific estimates are uncertain.

### ADVANCED 06 - Financial conditions

Policy rates, bond yields, credit spreads, equity prices and exchange rates jointly affect demand; one rate alone may miss tightening or easing.

### ADVANCED 07 - Fan charts and scenarios

Forecast distributions communicate uncertainty. Scenarios are conditional paths, not probabilities unless the model explicitly assigns them.

### ADVANCED 08 - Data governance

Revision calendars, machine-readable metadata, reproducible transformations and archived vintages make dashboards accountable and prevent silent history rewriting.

## PYQS AND EXAM APPLICATION

### VERIFIED MAINS PYQ - 2021 GS-III - 15 MARKS

**Question:** Do you agree that the Indian economy has recently experienced V-shaped recovery? Give reasons in support of your answer. Answer in 250 words.

**Model solution:** A V-shaped recovery describes a sharp output contraction followed by a rapid rebound. India's real GDP fell 23.9% year-on-year in Q1 FY21, contracted 7.5% in Q2, and returned to growth of 0.5% and 1.6% in Q3 and Q4. High-frequency indicators such as electricity demand, rail freight, GST collections and steel consumption also recovered. This supports the V description for aggregate output momentum. However, the low comparison base magnified subsequent growth rates. Estimate vintage matters: NSO's May 2021 provisional estimate showed a 7.3% FY21 contraction, later revised in January 2022 to 6.6%. Moreover, aggregate GDP concealed a K-shaped distribution: contact-intensive services, informal workers, women and younger workers recovered more slowly, while self-employment and insecure work increased. Therefore, India experienced a V-shaped aggregate-output recovery, but not a uniform recovery in employment, incomes or sectors. The correct conclusion is qualified agreement, backed by dated quarterly levels, revision status and labour evidence.

### VERIFIED OBJECTIVE ROUTE - 2019 PRELIMS GS-I Q3

**Question:** The Global Competitiveness Report is published by which institution?

A. International Monetary Fund B. United Nations Conference on Trade and Development C. World Economic Forum D. World Bank

**Concept answer:** World Economic Forum. **Official-key discipline:** the authoritative UPSC key PDF is not held in the verified local set, so this package does not claim an independently verified official answer letter. The WEF discontinued the specific annual Global Competitiveness Report/Index after 2019-20; IMD's World Competitiveness Ranking is a different publication.

## OFFICIAL SOURCE REGISTER

| Institution and release | Official URL | Use in this package |
|---|---|---|
| Economic Survey 2025-26 | https://www.indiabudget.gov.in/economicsurvey/ | Dated source for the relevant dashboard cell |
| Union Budget 2026-27 | https://www.indiabudget.gov.in/ | Dated source for the relevant dashboard cell |
| MoSPI national accounts, 31 August 2026 | https://www.mospi.gov.in/ | Dated source for the relevant dashboard cell |
| MoSPI CPI, 12 August 2026 | https://www.mospi.gov.in/ | Dated source for the relevant dashboard cell |
| MoSPI IIP, 28 August 2026 | https://www.mospi.gov.in/ | Dated source for the relevant dashboard cell |
| MoSPI PLFS, 17 August 2026 | https://www.mospi.gov.in/ | Dated source for the relevant dashboard cell |
| MoSPI HCES 2023-24 | https://www.mospi.gov.in/ | Dated source for the relevant dashboard cell |
| RBI MPC resolution, 5 August 2026 | https://www.rbi.org.in/ | Dated source for the relevant dashboard cell |
| RBI Weekly Statistical Supplement | https://www.rbi.org.in/ | Dated source for the relevant dashboard cell |
| RBI BoP, 1 September 2026 | https://www.rbi.org.in/ | Dated source for the relevant dashboard cell |
| RBI foreign-exchange reserves, 4 September 2026 | https://www.rbi.org.in/ | Dated source for the relevant dashboard cell |
| RBI external debt, 29 June 2026 | https://www.rbi.org.in/ | Dated source for the relevant dashboard cell |
| CGA FY26 provisional accounts, 1 June 2026 | https://cga.nic.in/ | Dated source for the relevant dashboard cell |
| Commerce trade release, 13 August 2026 | https://www.commerce.gov.in/ | Dated source for the relevant dashboard cell |
| OEA WPI and core industries | https://eaindustry.nic.in/ | Dated source for the relevant dashboard cell |

## CONSOLIDATED REGISTER NOTES

### A. Reading protocol

- Survey = analytical review and recommendation; Budget = BE/RE, taxation and spending proposal; CGA = realised cash accounts; Parliament = authorisation.
- Minimum tag: indicator + reference period + unit/base + release date + source + status.
- Never mix FY/calendar year, stock/flow, level/rate/share, current/constant prices, old/new base, or BE/RE/Actual.
- Keep static definition separate from the replaceable current value.

## B. National accounts

- GVA at basic prices + product taxes - product subsidies = GDP at market prices.
- Real = volume at constant prices; nominal = current-price value; implicit deflator = nominal/real ratio.
- Expenditure GDP: PFCE + GFCE + capital formation + net exports + discrepancies.
- FAE -> SAE -> provisional -> revised estimates; timeliness rises early, completeness later.
- New national-accounts base 2022-23 launched 27 February 2026; do not splice it mechanically to the Survey's older-base FAE.
- Q1 FY27, release 31 August 2026, base 2022-23: real GDP 7.8%, nominal GDP 10.3%, real GVA 8.2%; PFCE growth 7.1%, GFCF growth 11.9%.
- Sectoral real GVA: primary 2.9%, secondary 8.6%, tertiary 10.0%; agriculture/allied 3.6%, manufacturing 9.2%.

## C. Prices and production

- CPI = household retail basket; July 2026 inflation 4.45%, CFPI 5.52%, provisional, base 2024=100, release 12 August.
- WPI = wholesale primary/fuel/manufactured basket; July 2026 inflation 9.78%, provisional, base 2022-23, release 14 August.
- Core CPI is an analytical exclusion measure, not the statutory target.
- IIP July 2026 growth 6.7%, Quick Estimate, base 2022-23, release 28 August.
- Revised ICI July 2026 growth 5.4%, provisional, base 2022-23, release 20 August; iron ore is included in the revised core basket.
- PMI is a private diffusion index: above 50 ordinarily signals more improvement than deterioration, not 50% output growth.

## D. Fiscal, monetary and banking

- Fiscal deficit = expenditure - non-debt receipts; primary deficit = fiscal deficit - interest; revenue deficit = revenue expenditure - revenue receipts.
- Budget 2026-27 BE: fiscal deficit Rs 16.96 lakh crore/4.3% GDP; revenue deficit 1.5%; capex Rs 12.22 lakh crore; effective capex Rs 17.15 lakh crore.
- CGA FY26 provisional/unaudited: receipts Rs 33.85982 lakh crore; expenditure Rs 49.05151 lakh crore; arithmetic deficit Rs 15.19169 lakh crore, 97.5% of RE in the official monthly report.
- RBI 5 August 2026: repo 5.25%, SDF 5.00%, MSF/Bank Rate 5.50%, neutral stance.
- RBI WSS 21 August, data 31 July 2026: deposits Rs 269.41 lakh crore, bank credit Rs 220.78 lakh crore; YoY growth 15.4% and 19.3%.
- Survey banking snapshot, September 2025: SCB GNPA 2.2%, CRAR 17.2%; retain the date.

## E. External sector

- Q1 FY27 CAD: USD 4.2 billion/0.5% GDP, RBI release 1 September 2026.
- Q1 financing: net FDI +USD 6.1 billion; net FPI -USD 9.6 billion; NRI deposits +USD 2.8 billion; ECB +USD 3.3 billion.
- Reserves: USD 740.803 billion on 28 August 2026, RBI release 4 September; stock and valuation-sensitive.
- External debt: USD 762.8 billion/20.8% GDP at end-March 2026, RBI release 29 June; residual-maturity short-term debt 42.9% of total.
- July merchandise exports USD 44.24 billion and imports USD 76.22 billion, Commerce release 13 August.
- July services values in that release are estimates because latest RBI services data were for June.

## F. Labour and inclusion

- PLFS monthly July 2026, released 17 August, all-India CWS age 15+: LFPR 55.4%, WPR 52.5%, UR 5.1%.
- A rate requires age, status method, geography and period.
- Jobs require quantity, status, hours, earnings, security, productivity and social protection.
- HCES 2023-24 MPCE without imputation: rural Rs 4,122, urban Rs 6,996; no new official poverty ratio is inferred from these values.

## G. Survey 2025-26 synthesis

- Latest verified edition by cutoff: Economic Survey 2025-26, tabled 29 January 2026.
- January snapshot: FY26 real GDP 7.4% FAE; FY27 projection 6.8-7.2%; potential growth around 7%; PFCE share 61.5%; services growth 9.1%; Apr-Dec CPI 1.7%; H1 CAD 0.8%; reserves USD 701.4 billion on 16 January.
- These values describe the Survey vintage, not September 2026 current outturn.
- Chapter arc: macro stability -> sectors/infrastructure/climate -> human capability/AI/urbanisation -> strategic resilience and indispensability.
- Diagnosis and recommendation are not enacted policy.

## H. Synthesis algorithm

1. State the dated fact with six metadata fields.
2. Compare trend and decomposition.
3. Trace cause or transmission.
4. Add a counter-signal and risk.
5. Identify policy authority and status.
6. Conclude with a qualified judgement and next official release.